

might just play out—albeit with a significant time delay. I estimated that intrinsic value was likely well over \$11 per share. It looked like the market was unwilling to reward USAP for its brighter future today. It was taking a wait-and-see attitude.

Many of the clouds over USAP had dissipated. However, we were still looking at an unrealized loss. The future for USAP looked very good. I am very reticent to take permanent losses of capital. Buffett's rule number one and rule number two are worth keeping front and center at all times. I decided to take a wait-and-see approach and let a few more quarters roll by. We still had another year to go before three years were up.

In early 2005, USAP's stock crossed \$15 per share. Finally, after a very tough battle spanning nearly three years, we were in positive territory. Now we had a few good choices ahead of us:

- Sell at a small profit.
- Buy more.
- Do nothing.

In January 2005, USAP's revenue run-rate was about \$150 million per year, and the net income was about \$10.5 million per year. Backlog was about \$72 million—the highest ever in the company's history. All their plants were running full out. They were routinely putting through price increases and surcharges to their customers with minimal resistance. Dunkirk was at a run rate of \$42 million. It still had a wide open runway to increase sales two- to threefold in the coming years. The original investment thesis was finally playing out for us—after nearly three years of intense chakravayuh battles.

In May 2005, the company decided to spend \$2.5 million in capital expenditures to install a sixth vacuum arc re-melt furnace. I have a vague idea (at best) of what such a furnace is. What I did understand from Mac on a conference call is that it would raise EPS by about \$0.50 per share annually (wow!), and he'd have the furnace paid for in well under a year. Any time a business spends \$2.5 million on an asset and will earn \$3+ million from that expenditure in the first year alone, you do not need Excel